3. The business firm can meet financial liabilities like prompt payment of salary and wages, expenses, etc., in time with the help of sound financial support.
4. The sound financial support enables the enterprises to meet any unexpected or uncertain risks arising from business environment efficiently. For example economic slowdown, trade cycles, severe competition, shift in consumer preference, etc.
5. Sound financial position empowers the enterprise to attract talented man power and introduce latest technology.

19.02 Sources of Business Finance

Classification of Sources of Finance

Business finance is classified into three types with reference to time pereiod i.e. Long term finance (more than 5 years), Medium term finance (above 1 year but below 5 years) and Short term finance (within one year) for carrying on business operations. Long term finance can be mobilized by issue of shares and debentures, term loans from commercial banks and financial institutions, and retained earnings. Medium term finance can be mobilized by public deposits, leasing, medium term loans from banks and financial institutions. Short term fiancé can be raised through public deposits, trade credit, customer advance, , hypothecation, cash credit, bank overdraft, pledge, mortgage etc.

The various sources of business finance can be classified into three categories on the basis of i) period basis ii) ownership basis iii) source of generation basis

On the basis of period

The different sources of finance can be further grouped into three categories on the basis of period

1) Short term finance 2) Medium term finance 3) Long term finance

Sources of Short Term Finance

Short term funds are those sources which are required by the business firms for a period of within one year. Some of the important sources of short term finance are briefly explained below.

1. Loans and Advances

Loan is a direct advance made in lump sum which is credited to a separate loan account in the name of borrower. The borrower can withdraw the entire amount in cash immediately. It can be repaid in one or more installments. But the interest on loans and advances is calculated on the whole of the amount borrowed right from the date of sanction. It may be secured or unsecured. Loans and advances are usually sanctioned by pledge of specific assets like Fixed Deposit Receipts, Document of Title to the Goods, Shares, Debentures, etc.

2. Bank Overdraft

Bank overdraft refers to an arrangement whereby the bank allows the customers to overdraw the required amount from its current deposit account within a specified limit. Interest is charged only on the amount actually overdrawn.

3. Discounting Bills of Exchange

When goods are sold on credit, the suppliers generally draw bills of exchange upon customers who are required to accept it.

Commerce 16-25.indd 188 10/12/2022 16:33:14